

Real Estate Financing in Michigan

STUDY SHEET

Michigan is a Title Theory State

- A deed of trust is the "mortgage" or security instrument.
- The deed of trust creates a lien on the property.
- The trustee holds the title until lien is paid.
- Most foreclosures in MI are non-judicial.

Deed of Trust

(Security instrument used instead of a mortgage in some states) Involves three parties (mortgages involve two)

- Trustor: Borrower
- Beneficiary: Lender
- Trustee: Neutral third party (holds title until lien is paid)

Mortgage Defined

- A mortgage agreement is a legally binding document
- Payment components: Principal, interest, taxes, insurance (PITI)
- Lenders are required to follow lending and disclosure laws:
 - Qualifying rules
- Promissory note accompanies mortgage and specifies:
 - Terms of repayment
 - Loan period
 - Late fees
 - Prepayment penalties (if any)
 - Actions that will be taken if borrower defaults

Types of Mortgage Clauses

Mortgage agreement consists of multiple clauses

- Parties identified
- Legal description
- Warranty of title
- Covenants
- Due on sale clause (a.k.a. alienation clause)
- Acceleration clause
- Prepayment penalty
- Defeasance clause

Mortgage Lenders

- Savings and loan associations
- Commercial banks
- Credit unions
- Mortgage bankers
- Mortgage brokers
- Insurance companies
- Investment groups
 - REITs

Terms to Know

- LTV = Loan to Value
- PMI = Private Mortgage Insurance
- MIP = Mortgage Insurance Premium (for FHA loans)

Types of Loans

- Adjustable rate
- Amortized
- Balloon payment

- Fixed rate
- Wrap-around loan
- Blanket loan
- Package loan
- Sale/leaseback
- Graduated payment
- Reverse mortgage

Government Backed Mortgages

- VA: Guarantees loans up to 100% of CRV or sales price; guarantees top 25% of loan only
- FHA: Insures lenders against buyer default

Secondary Mortgage Market

- Fannie Mae: Purchases individual loans and sells them as mortgage-backed securities
- Freddie Mac: Purchases loans from FDIC institutions
- Ginnie Mae: Guarantees loans on the secondary mortgage market
- Farmer Mac: Serves agricultural and rural loans

New Lending Rules

- Commercial Reinvestment Act
- Equal Credit Opportunity Act
- Regulation Z
- RESPA
- Truth in Lending Act
- Qualified Mortgages

Michigan Finance Legislation

- Michigan State Housing Development Authority Act
- Michigan Usury Act

Predatory Lending Techniques

- Encouraging debt
- Making loans to unqualified borrowers
- Flipping loans
- Failing to disclose true loan obligation
- Including toxic loan features and hidden fees

Mortgage Fraud Red Flags

- Illegal property flipping
- Undisclosed second mortgages
- Straw buyers
- Stolen or fictitious Identity
- Inflated appraisals
- Equity skimming

How to prepare buyers for financing

- Down payment tips to remember (From assistance to IRA)
- Reduce debt
- Improve credit